

United Overseas Bank (UOB)

A credible path to 14% RoE

UOB stays our top pick within Singapore banks. The bank's commitment to reach 14% RoE and 40% CIR by 2026, made during the corporate day last year is plausible, but that will take sharper cost cuts next year. The bank increased CIR guidance this year to 42% (from 41-42%), allowing improvements in revenue generating capabilities this year, as well as providing leeway on costs in 2026/27. The bank's S\$3bn capital return commitment allows the bank degrees of freedom to leverage faster, if need be. We have factored in CIR of 41.4/40.5/39.5% in 2025-27, with ~54% regular payout and S\$1.5bn of buybacks every year for the next three years. This leaves our 2026 RoE forecast a touch below 14% and 2027 a touch above. Hence, as this year progresses, we expect the stock to move closer to 1.4x book, as the RoE/buyback/profit delivery leads to higher confidence on 14% RoE.

- **Growth:** UOB has guided for mid to high single digit loan growth, which is meaningfully above peers (low single digits). This dichotomy was not fully explained by the larger EM Asean footprint of UOB, as markets like Thailand and Indonesia have limited growth this year. Management comments during the briefing suggested that the bank has been able to build a strong franchise amongst inbound investments to EM Asean from sponsors across geographies, primarily North Asia. This, in our view, is a defensible moat for UOB for the next few years. Hence, the bank will likely surprise over the next few quarters on credit/NII growth. Hence, dividend yield for UOB should be lower than peers since the bank is likely to deliver growing DPS vs. almost flat for other money center banks.
- **Regular, special & buyback:** UOB is balancing faster growth and capital return, within its traditional ethos of conservatism. This balancing act shows in ~54% regular payout, with 30bps (S\$ 50c) in special and \$2bn in buyback spread over 3Y. We believe the bank will accelerate buybacks, as the excess capital is not fully returned despite 6% RWAg in 2025-27 and capital return measures. Our understanding of management comments is that the bank will try to time buybacks during periods of share price weakness, and if the buyback commitment is left unutilized, the remainder may be paid back as special dividends. We believe the bank may ultimately move to program buybacks, as that allows for a steady decline in share count over long periods of time, and aligns well with long term shareholder interests.
- **Costs:** The bank has witnessed 12% cost CAGR in the last 3Y. We forecast 1% CAGR in the next 3Y, with CIR of ~40%. There is scope for higher cost savings in 2026/27, as cost/assets have increased significantly to 1.14% (from 0.97% in 2021). The investments should allow the bank to lower the cost of servicing, while growing the B/S and fee income footprint. This, in our view, underscores some of the projections from the bank during corporate day of a 2x increase in trade loans, HSD gr in CASA balances, ~50% retail income from wealth and cards, etc.

Overweight

UOBH.SI, UOB SP

Price (25 Feb 25): S\$38.20

Price Target (Dec-25): S\$43.00

APAC Banks

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Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (\$)	3.80	3.84
Adj. EPS - 26E (\$)	4.16	4.17

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.87	0.91	
Q2	0.84	0.96	
Q3	0.95	0.99	
Q4	0.90	0.98	
FY	3.56	3.84	4.17

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	1	1	4	7	4
Growth	26	36	26	14	20
Momentum	14	36	23	7	55
Quality	17	17	20	10	7
Low Vol	7	7	7	4	36
ESGQ	81	79	16	6	10

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	5.2%	2.6%	6.1%	35.2%
Rel	1.8%	-0.4%	1.1%	11.7%

Company Data

Shares O/S (mn)	1,672
52-week range (\$)	39.20-27.95
Market cap (\$ mn)	47,705
Exchange rate	1.34
Free float (%)	86.2%
3M ADV (mn)	2.24
3M ADV (\$ mn)	62.2
Volatility (90 Day)	19
Index	FTSTI
BBG ANR (Buy Hold Sell)	17 1 0

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,674	10,057	10,338	10,626
Non interest income	4,620	4,462	4,818	5,203
Operating expenses	(6,074)	(6,013)	(6,134)	(6,256)
Adj. PPOP	8,220	8,505	9,022	9,573
Provision for loan losses	(873)	(867)	(966)	(1,032)
Adj. PBT	7,199	7,735	8,189	8,681
Adj. net income	5,946	6,340	6,724	7,134
Adj. EPS	3.56	3.84	4.17	4.54
BBG EPS	3.59	3.79	4.02	4.34
DPS	2.05	2.17	2.20	2.40
Loans	333,930	357,121	381,841	407,610
Deposits	403,978	416,958	441,239	464,641
Total Assets	537,664	559,829	591,844	623,223
Margins and Growth				
NIM	2.0%	2.0%	2.0%	1.9%
Ratios				
Loan/ Deposit ratio	82.7%	85.6%	86.5%	87.7%
NPL / Loans	1.5%	1.6%	1.6%	1.6%
Coverage	75.5%	74.5%	74.2%	74.0%
CET 1	15.5%	15.2%	14.8%	14.7%
Non-int. income/ Income	32.3%	30.7%	31.8%	32.9%
Cost/Income	42.5%	41.4%	40.5%	39.5%
LLP/Loans	(0.3%)	(0.2%)	(0.3%)	(0.3%)
ROA	1.1%	1.2%	1.2%	1.2%
ROE	13.1%	13.4%	13.8%	14.1%
Valuation				
Dividend yield	5.4%	5.7%	5.8%	6.3%
Adj. P/E	10.7	9.9	9.2	8.4
P/ BV	1.36	1.30	1.22	1.15

Summary Investment Thesis and Valuation

Investment Thesis

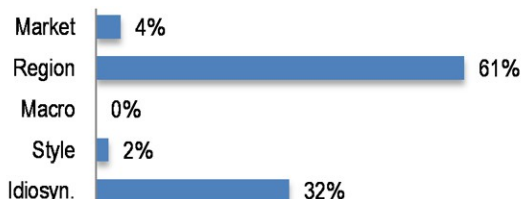
We are OW on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium-term. Further, over the next 2Y, we see the bank moving closer to 14% RoE, leading to a sustained re-rating. This is supported by a combination of buyback and a focus on cost management, along with sector-high loan growth (~7%)
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$1.5bn buyback in 2025 and 2026, each.
- We believe valuations appear attractive at 10.0x/1.30x 2025E PE/PB, with a 6% yield. We expect ROE trajectory and capital management to drive the stock.

Valuation

Our Dec-25 PT of S\$43 is based on a fair P/B of 1.32x with a normalized RoE of 13.4%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.18	0.21
Region: Singapore	0.80	0.80
Macro:		
HSI Volatility Index	-0.41	-0.31
JPM China A-shares Sentiment	-0.18	-0.21
JP Morgan GBI-EM Global Div	0.20	0.18
Quant Styles:		
Momentum	0.33	0.23
Value	-0.29	-0.20
Growth	0.28	0.19

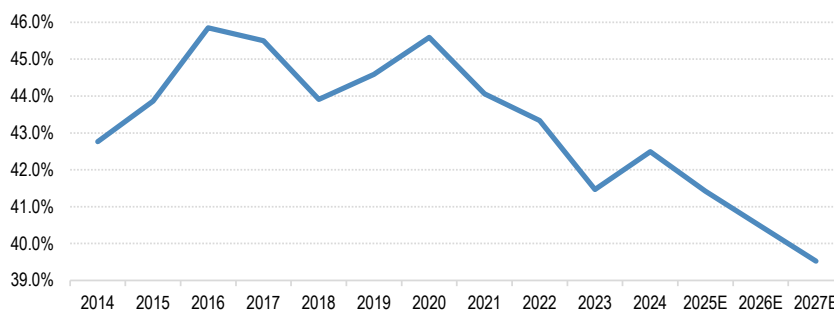
Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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We have factored in CIR of 41.4/40.5/39.5% in 2025-27E

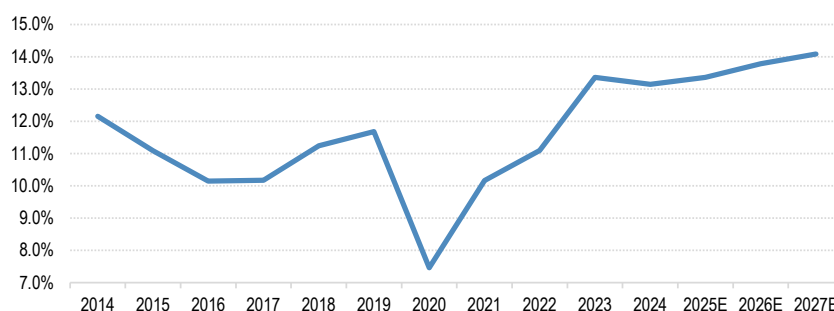
Figure 1: UOB: Cost/income ratio



Source: Company reports and J.P. Morgan estimates.

We forecast RoE of 14.1% in 2027E

Figure 2: UOB: RoE



Source: Company reports and J.P. Morgan estimates.

Table 1: Singapore Banks: Valuation

Bank	Price (\$)	Rating	PT (\$)	PE (x)		PB (x)		Div. Yield (%)		RoE (%)	
				2025E	2026E	2025E	2026E	2025E	2026E	2025E	2026E
DBS	46.55	OW	51.00	11.5	11.2	1.91	1.81	6.6	7.0	16.7	16.5
OCBC	17.60	NR	-	10.3	10.2	1.32	1.26	5.7	6.0	13.2	12.7
UOB	38.20	OW	43.00	9.9	9.2	1.30	1.22	5.7	5.8	13.4	13.8
Sector				10.8	10.4	1.60	1.52	6.1	6.4	14.9	14.8

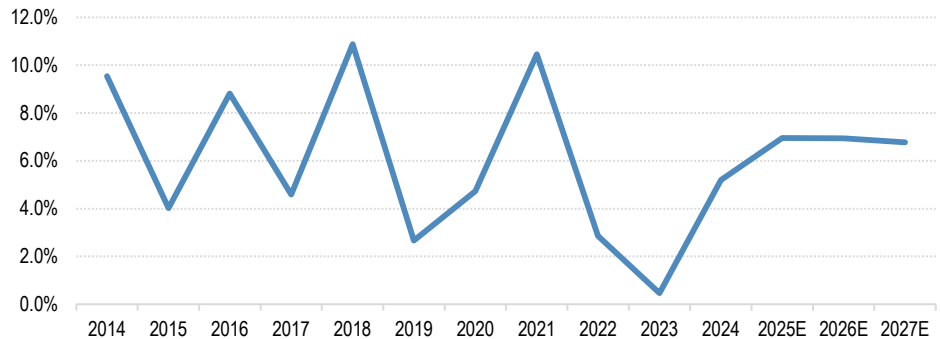
Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 25 Feb 2025.

Growth dichotomy

UOB has guided for mid to high single digit loan growth, which is meaningfully above peers (low single digits). This dichotomy was not fully explained by the larger EM Asean footprint of UOB, as markets like Thailand and Indonesia have limited growth this year. Management comments during the briefing suggested that the bank has been able to build a strong franchise amongst inbound investments to EM Asean from sponsors across geographies, primarily North Asia. This, in our view, is a defensible moat for UOB for the next few years. Hence, the bank will likely surprise over the next few quarters on credit/NII growth. Hence, dividend yield for UOB should be lower than peers since the bank is likely to deliver growing DPS vs. almost flat for other money center banks.

We factor in ~7% loan gr over the next 3Y

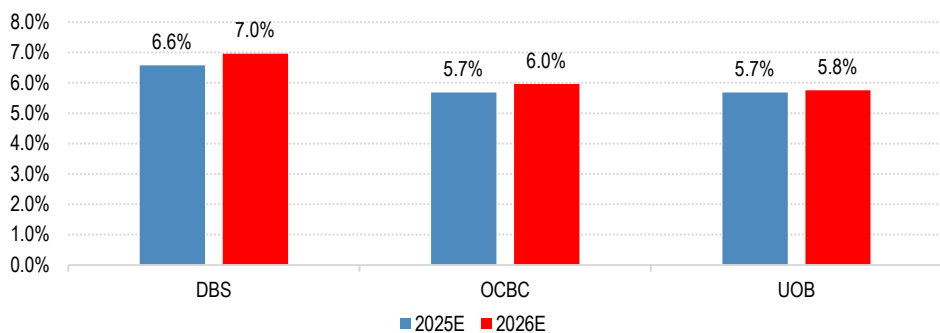
Figure 3: UOB: Loan growth y/y



Source: Company reports and J.P. Morgan estimates.

We expect UOB's dividend yield to be lower vs DBS/OCBC, driven by higher loan growth

Figure 4: Singapore Banks: Dividend yield



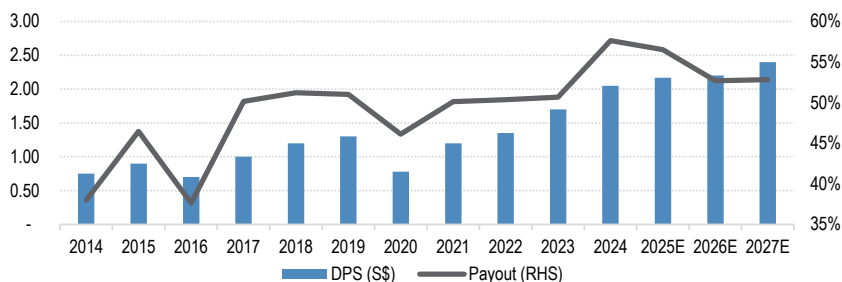
Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 25 Feb 2025.

The balancing act

UOB is balancing faster growth and capital return, within its traditional ethos of conservatism. This balancing act shows in ~54% regular payout, with 30bps (S\$ 50c) in special and \$2bn in buyback spread over 3Y. We believe the bank will accelerate buybacks, as the excess capital is not fully returned despite 6% RWag in 2025-27 and capital return measures. Our understanding of management comments is that the bank will try to time buybacks during periods of share price weakness, and if the buyback commitment is left unutilized, the remainder may be paid back as special dividends. We believe the bank may ultimately move to program buybacks, as that allows for a steady decline in share count over long periods of time, and aligns well with long term shareholder interests.

We expect 53-57% payout at UOB over 2025-27E

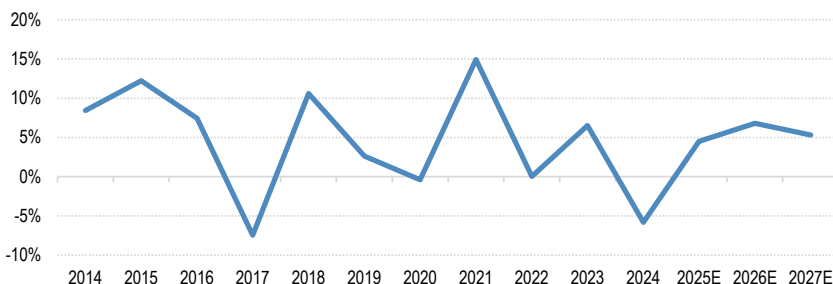
Figure 5: UOB: Dividend payout



Source: Company reports and J.P. Morgan estimates.

We expect ~6% RWag at UOB over the next 3Y

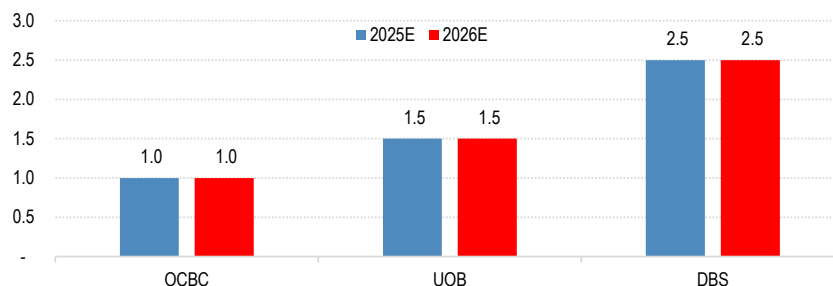
Figure 6: UOB: RWag y/y



Source: Company reports and J.P. Morgan estimates.

We factor in buyback of S\$1.5bn each year in 2025-27E at UOB

Figure 7: Singapore Banks: Buyback estimates (\$ bn)



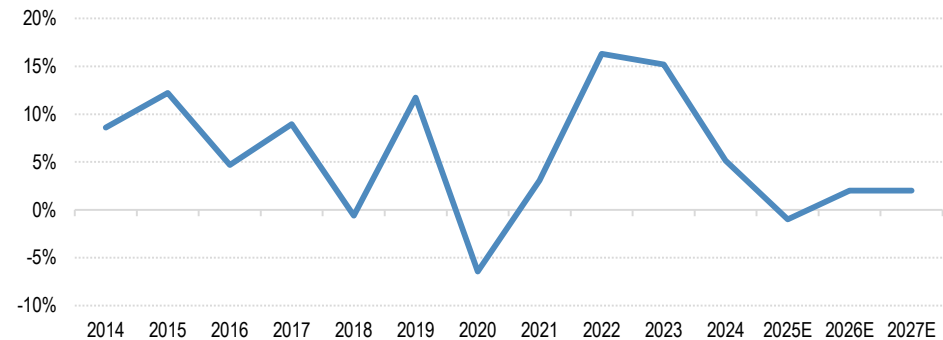
Source: J.P. Morgan estimates.

Scope for higher cost savings

The bank has witnessed 12% cost CAGR in the last 3Y. We forecast 1% CAGR in the next 3Y, with CIR of ~40%. There is scope for higher cost savings in 2026/27, as cost/assets have increased significantly to 1.14% (from 0.97% in 2021). The investments should allow the bank to lower the cost of servicing, while growing the B/S and fee income footprint. This, in our view, underscores some of the projections from the bank during corporate day of a 2x increase in trade loans, HSD gr in CASA balances, ~50% retail income from wealth and cards, etc.

We forecast 1% cost growth in the next 3Y vs 12% CAGR in the last 3Y

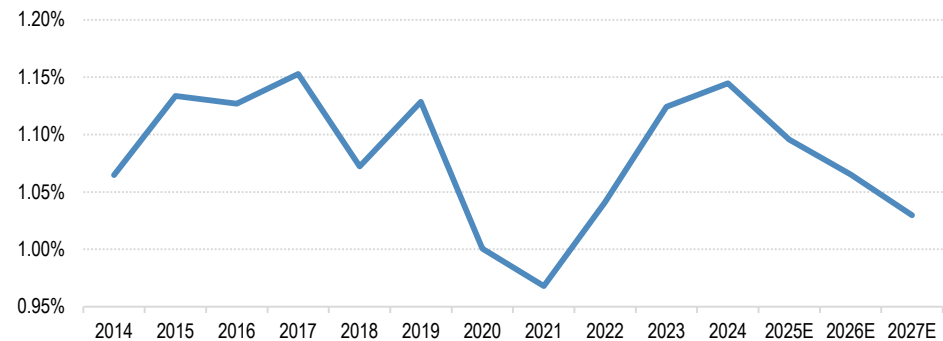
Figure 8: UOB: Opex growth y/y



Source: Company reports and J.P. Morgan estimates.

There is scope for higher cost savings as cost/assets have increased significantly to 1.14% in 2024 from 0.97% in 2021

Figure 9: UOB: Cost/assets



Source: Company reports and J.P. Morgan estimates.

Valuation

Our Dec-25 PT of S\$43 is based on a fair P/B of 1.32x with a normalized RoE of 13.4%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

Table 2: UOB: Valuation

	Net Inc (S\$ mn)	EPS (S\$)	P/E (x)	BVPS (S\$)	P/B (x)	Dividend (S\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2020	2,825	1.69	22.6	23.0	1.66	0.78	2.0%	0.68%	1.25%	7.5%
2021	4,003	2.39	16.0	24.1	1.59	1.20	3.1%	0.90%	1.65%	10.2%
2022	4,485	2.68	14.3	24.2	1.58	1.35	3.5%	0.98%	1.73%	11.7%
2023	5,615	3.36	11.4	26.0	1.47	1.70	4.5%	1.16%	2.10%	14.2%
2024	5,946	3.56	10.7	28.1	1.36	2.05	5.4%	1.16%	2.22%	13.6%
2025E	6,340	3.84	9.9	29.4	1.30	2.17	5.7%	1.16%	2.39%	13.4%
2026E	6,724	4.17	9.2	31.2	1.22	2.20	5.8%	1.17%	2.39%	13.8%
2027E	7,134	4.54	8.4	33.3	1.15	2.40	6.3%	1.17%	2.40%	14.1%
Price (S\$)		38.20		Number of shares (mn)		1,672		Market Cap (S\$ mn)		63,887
Normalised RoE				PB based Valuation				PE based Valuation		
NIM (on avg. assets)		1.79%		Risk-free rate		4.50%		Fair PE		9.85x
Non-IR/revenues		31.5%		Cost of capital		10.3%		12m Rolling EPS		S\$3.89
Cost/income		40.6%		Long term growth		0.50%		PE based 12M Fwd Fair Value		S\$38.3
Operating RoA		1.55%		Fair PB		1.32x		Implied Value of Growth		
LLP/Loans		-0.30%		PV of Terminal Value		S\$35.5		12m Rolling EPS		S\$3.89
Net RoAA		1.13%		PV of Dividends		S\$3.8		Capitalized Value (S\$)		\$37.88
Equity/Assets		8.5%		PV of today's Fair Value		S\$39.3		Value of Growth (S\$)		\$0.32
Normalised RoE		13.4%		PV of Dec-25E fair value		S\$43.4		Attributable to Growth		0.8%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced as of 25 Feb 2025.

Annual Forecasts

Table 3: UOB: Annual P&L

S\$ in million	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,826	8,291	9,077	11,141	12,557	9,623	8,204	12,862	22,242	23,259	23,615	23,827	23,929
Interest Expense	(2,900)	(3,300)	(3,548)	(4,921)	(5,994)	(3,587)	(1,816)	(4,519)	(12,563)	(13,585)	(13,558)	(13,489)	(13,303)
Net Interest Income	4,926	4,991	5,528	6,220	6,563	6,036	6,388	8,343	9,679	9,674	10,057	10,338	10,626
Non-Interest Income	3,122	3,071	3,323	2,896	3,467	3,141	3,401	3,232	4,253	4,620	4,462	4,818	5,203
Net Fee income	1,883	1,931	2,161	1,966	2,032	1,997	2,412	2,143	2,235	2,395	2,611	2,845	3,102
Trading income	954	877	902	648	1,116	880	730	829	1,690	2,003	1,602	1,699	1,800
Other operating income	285	263	260	282	319	264	259	260	328	222	249	274	301
Total Revenues	8,048	8,061	8,851	9,116	10,030	9,177	9,789	11,575	13,932	14,294	14,518	15,155	15,829
Costs	(3,530)	(3,696)	(4,027)	(4,003)	(4,472)	(4,184)	(4,313)	(5,016)	(5,777)	(6,074)	(6,013)	(6,134)	(6,256)
PPOP	4,518	4,365	4,824	5,113	5,558	4,992	5,476	6,559	8,155	8,220	8,505	9,022	9,573
Loan loss provisions	(588)	(571)	(660)	(395)	(450)	(1,595)	(629)	(627)	(784)	(873)	(867)	(966)	(1,032)
Other provisions	(84)	(23)	(67)	2	15	42	(28)	21	(161)	(81)	-	-	-
Other income	90	6	110	106	51	98	118	97	93	121	127	133	140
Pre-Tax	3,936	3,777	4,207	4,826	5,174	3,536	4,937	6,050	7,303	7,387	7,765	8,189	8,681
Tax	(649)	(669)	(800)	(805)	(813)	(606)	(850)	(1,221)	(1,228)	(1,140)	(1,281)	(1,351)	(1,432)
MI & EO	(11)	(12)	(16)	(13)	(18)	(15)	(12)	(10)	(14)	(14)	(15)	(16)	(16)
Core Profit	3,276	3,096	3,390	4,008	4,343	2,915	4,075	4,819	6,061	6,233	6,469	6,822	7,232
Attributable profits	3,170	3,012	3,288	3,898	4,249	2,825	4,003	4,731	5,965	6,134	6,370	6,724	7,134

Source: Company reports, J.P. Morgan estimates.

Table 4: UOB: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.71%	1.77%	1.82%	1.78%	1.57%	1.56%	1.86%	2.09%	2.03%	2.03%	1.99%	1.94%
IEA/Assets	89.3%	89.0%	89.4%	91.6%	93.0%	91.9%	92.0%	93.1%	90.1%	89.8%	90.2%	90.3%	90.4%
Margins (% of avg. Assets)	1.58%	1.52%	1.58%	1.67%	1.66%	1.44%	1.43%	1.73%	1.88%	1.82%	1.83%	1.80%	1.75%
Non-IR contribution	38.8%	38.1%	37.5%	31.8%	34.6%	34.2%	34.7%	27.9%	30.5%	32.3%	30.7%	31.8%	32.9%
Non-IR/Avg. Assets	1.00%	0.94%	0.95%	0.78%	0.87%	0.75%	0.76%	0.67%	0.83%	0.87%	0.81%	0.84%	0.86%
Revenue/Assets	2.58%	2.46%	2.53%	2.44%	2.53%	2.19%	2.20%	2.40%	2.71%	2.69%	2.65%	2.63%	2.61%
Cost/Income	43.9%	45.9%	45.5%	43.9%	44.6%	45.6%	44.1%	43.3%	41.5%	42.5%	41.4%	40.5%	39.5%
C/Assets	1.13%	1.13%	1.15%	1.07%	1.13%	1.00%	0.97%	1.04%	1.12%	1.14%	1.10%	1.07%	1.03%
Pre-Provision ROA	1.45%	1.33%	1.38%	1.37%	1.40%	1.19%	1.23%	1.36%	1.59%	1.55%	1.55%	1.57%	1.58%
LLP/Loans	-0.3%	-0.3%	-0.29%	-0.16%	-0.17%	-0.58%	-0.21%	-0.20%	-0.24%	-0.26%	-0.25%	-0.26%	-0.26%
Loan/Assets	65.3%	66.0%	66.1%	66.7%	66.9%	65.8%	66.5%	65.4%	62.3%	62.1%	63.7%	64.9%	65.8%
Other Income/Assets	0.00%	-0.01%	0.01%	0.03%	0.02%	0.03%	0.02%	0.02%	-0.01%	0.01%	0.02%	0.02%	0.02%
Operating ROA	1.26%	1.16%	1.19%	1.26%	1.29%	0.81%	1.09%	1.23%	1.43%	1.38%	1.39%	1.40%	1.41%
Pre-Tax ROA	1.26%	1.15%	1.20%	1.29%	1.31%	0.85%	1.11%	1.26%	1.42%	1.39%	1.42%	1.42%	1.43%
Tax Rate	-16.5%	-17.7%	-19.0%	-16.7%	-15.7%	-17.1%	-17.2%	-20.2%	-16.8%	-15.4%	-16.5%	-16.5%	-16.5%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.02%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.98%	1.16%	1.16%	1.16%	1.17%	1.17%
ROA	1.00%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.93%	1.09%	1.12%	1.16%	1.17%	1.17%
RoRWA	1.64%	1.45%	1.58%	1.86%	1.90%	1.25%	1.65%	1.73%	2.10%	2.22%	2.39%	2.39%	2.40%
Equity/Assets	8.99%	9.05%	9.25%	9.29%	9.18%	9.06%	8.84%	8.39%	8.18%	8.52%	8.65%	8.47%	8.34%
Core ROE	11.3%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.7%	14.2%	13.6%	13.4%	13.8%	14.1%
ROE	11.1%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.1%	13.4%	13.1%	13.4%	13.8%	14.1%

Source: Company reports, J.P. Morgan estimates.

Quarterly Forecasts

Table 5: UOB: Quarterly P&L

\$S in million	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
Interest Income	5,152	5,451	5,692	5,947	5,855	5,706	5,791	5,907	5,849	5,889	5,880	5,997
Interest Expense	(2,743)	(3,014)	(3,263)	(3,543)	(3,493)	(3,305)	(3,331)	(3,456)	(3,408)	(3,379)	(3,337)	(3,435)
Net Interest Income	2,409	2,437	2,429	2,404	2,362	2,401	2,460	2,451	2,441	2,510	2,544	2,562
Non-Interest Income	1,115	1,104	1,027	1,007	1,161	1,075	1,374	1,010	1,107	1,108	1,155	1,091
Net Fee income	552	524	591	568	580	618	630	567	635	654	680	641
Trading income	474	478	375	363	521	406	709	367	411	390	410	391
Other operating income	89	102	61	76	60	51	35	76	61	64	65	59
Total Revenues	3,524	3,541	3,456	3,411	3,523	3,476	3,834	3,461	3,548	3,619	3,699	3,653
Costs	(1,440)	(1,448)	(1,416)	(1,473)	(1,475)	(1,452)	(1,590)	(1,558)	(1,480)	(1,490)	(1,537)	(1,507)
PPOP	2,084	2,093	2,040	1,938	2,048	2,024	2,244	1,903	2,068	2,129	2,162	2,146
Loan loss provisions	(192)	(238)	(151)	(203)	(186)	(194)	(281)	(212)	(223)	(208)	(212)	(224)
Other provisions	18	(132)	(91)	44	16	(44)	(30)	(23)	0	0	0	0
Other income	25	26	20	22	26	30	25	40	32	32	32	31
Pre-Tax	1,935	1,749	1,818	1,801	1,904	1,816	1,958	1,708	1,877	1,953	1,982	1,952
Tax	(345)	(208)	(305)	(370)	(317)	(307)	(299)	(219)	(310)	(322)	(327)	(322)
MI & EO	(13)	(34)	(34)	67	(22)	(22)	(22)	51	(3)	(3)	(3)	(7)
Core Profit	1,577	1,507	1,479	1,498	1,566	1,488	1,638	1,540	1,565	1,628	1,653	1,623
Attributable profit	1,510	1,415	1,382	1,404	1,487	1,424	1,610	1,523	1,550	1,613	1,653	1,623

Source: Company reports, J.P. Morgan estimates.

Table 6: UOB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25E	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.14%	2.12%	2.09%	2.02%	2.02%	2.05%	2.05%	2.00%	2.01%	2.02%	2.01%	2.00%
IEA/Assets	90.7%	91.5%	90.3%	90.9%	90.5%	91.3%	90.2%	90.3%	91.2%	91.2%	91.1%	91.2%
Margins (% of avg. Assets)	1.94%	1.94%	1.89%	1.84%	1.83%	1.87%	1.85%	1.81%	1.83%	1.84%	1.83%	1.83%
Non-IR contribution	31.6%	31.2%	29.7%	29.5%	33.0%	30.9%	35.8%	29.2%	31.2%	30.6%	31.2%	29.9%
Non-IR/Avg. Assets	0.89%	0.88%	0.80%	0.78%	0.89%	0.83%	1.04%	0.75%	0.82%	0.81%	0.84%	0.78%
Revenue/Assets	2.80%	2.81%	2.71%	2.63%	2.71%	2.69%	2.90%	2.56%	2.63%	2.65%	2.68%	2.63%
Cost/Income	40.9%	40.9%	41.0%	43.2%	41.9%	41.8%	41.5%	45.0%	41.7%	41.2%	41.5%	41.3%
C/Assets	1.14%	1.15%	1.11%	1.13%	1.14%	1.13%	1.20%	1.15%	1.10%	1.09%	1.11%	1.08%
Pre-Provision ROA	1.66%	1.66%	1.60%	1.49%	1.58%	1.57%	1.70%	1.41%	1.53%	1.56%	1.57%	1.54%
LLP/Loans	-0.24%	-0.30%	-0.19%	-0.25%	-0.23%	-0.24%	-0.34%	-0.25%	-0.26%	-0.24%	-0.24%	-0.25%
Loan/Assets	63.2%	63.0%	62.4%	61.5%	62.0%	63.0%	62.5%	62.2%	63.0%	63.2%	63.5%	64.2%
Operating ROA	1.50%	1.47%	1.48%	1.34%	1.43%	1.42%	1.48%	1.25%	1.37%	1.41%	1.42%	1.38%
Pre-Tax ROA	1.54%	1.39%	1.42%	1.39%	1.47%	1.41%	1.48%	1.27%	1.39%	1.43%	1.44%	1.40%
Tax Rate	-17.8%	-11.9%	-16.8%	-20.5%	-16.6%	-16.9%	-15.2%	-12.8%	-16.5%	-16.5%	-16.5%	-16.5%
Minorities & Outside Int.	-0.01%	-0.03%	-0.03%	0.05%	-0.02%	-0.02%	-0.02%	0.04%	0.00%	0.00%	0.00%	0.00%
Core ROA	1.23%	1.17%	1.13%	1.13%	1.19%	1.13%	1.22%	1.12%	1.14%	1.17%	1.18%	1.15%
ROA	1.18%	1.10%	1.06%	1.06%	1.13%	1.08%	1.20%	1.11%	1.13%	1.16%	1.18%	1.15%
RoRWA	2.29%	2.12%	2.02%	2.02%	2.12%	2.00%	2.36%	2.34%	2.33%	2.40%	2.44%	2.37%
Equity/Assets	8.33%	8.46%	8.19%	8.19%	8.49%	8.66%	8.54%	8.60%	8.63%	8.60%	8.57%	8.51%
Core ROE	14.8%	13.8%	13.8%	13.9%	14.0%	13.1%	14.3%	13.1%	13.2%	13.7%	13.8%	13.5%
ROE	14.1%	13.0%	12.9%	13.0%	13.3%	12.5%	14.0%	12.9%	13.1%	13.5%	13.8%	13.5%

Source: Company reports, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

United Overseas Bank (UOB) *(Overweight; Price Target: S\$43.00)*

Investment Thesis

We are OW on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium-term. Further, over the next 2Y, we see the bank moving closer to 14% RoE, leading to a sustained re-rating. This is supported by a combination of buyback and a focus on cost management, along with sector-high loan growth (~7%)
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$1.5bn buyback in 2025 and 2026, each.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state. Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- We believe valuations appear attractive at 10.0x/1.30x 2025E PE/PB, with a 6% yield. We expect the ROE trajectory and capital management to drive the stock.

Valuation

Our Dec-25 PT of S\$43 is based on a fair P/B of 1.32x with a normalized RoE of 13.4%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

Risks to Rating and Price Target

Downside risks include worse-than-expected asset quality, growth and NIM disappointment, and lower-than-expected dividends and buyback. Sustained higher operating costs would also be a downside risk. Delays in Citi integration could be a risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

Upside catalysts include sustained delivery on RoE, cost management post investments in 2023, and higher dividend. On PPoP, the bank's ability to manage early wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks on costs.

United Overseas Bank (UOB): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	22,242	23,259	23,615	23,827	23,929	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,563)	(13,585)	(13,558)	(13,489)	(13,303)	Deposits with banks	87,443	76,009	71,745	76,682	79,911
Net interest income	9,679	9,674	10,057	10,338	10,626	Net loans	317,005	333,930	357,121	381,841	407,610
Non interest income	4,253	4,620	4,462	4,818	5,203	PP&E	4,508	4,852	5,095	5,349	5,563
o/w Fee income	2,235	2,395	2,611	2,845	3,102	Net intangibles	4,984	4,979	4,979	4,979	4,979
o/w Trading income	1,690	2,003	1,602	1,699	1,800	LT investments	90,339	96,625	98,558	99,543	100,539
Net revenues	13,932	14,294	14,518	15,155	15,829	Other assets	19,241	21,269	22,332	23,449	24,622
Non interest expense	(5,777)	(6,074)	(6,013)	(6,134)	(6,256)	Total assets	523,520	537,664	559,829	591,844	623,223
o/w Employee costs	(3,553)	(3,699)	(3,662)	(3,735)	(3,810)	Interest earning assets	498,932	510,465	531,650	562,679	593,085
Pre-Prov. Profits	8,155	8,220	8,505	9,022	9,573	Deposits	385,469	403,978	416,958	441,239	464,641
Provisions	(784)	(873)	(867)	(966)	(1,032)	Borrowings	68,651	61,102	67,985	72,575	77,003
Adj. PBT	6,953	7,199	7,735	8,189	8,681	Other liabilities	25,680	25,375	26,733	28,172	29,697
Income taxes	(1,228)	(1,140)	(1,281)	(1,351)	(1,432)	Total liabilities	479,800	490,455	511,676	541,986	571,340
Minority interest	(14)	(14)	(15)	(16)	(16)	Shareholder equity	43,478	46,985	47,930	49,634	51,659
Adj. Net profit	5,615	5,946	6,340	6,724	7,134	Minority interests	242	224	224	224	224
PPOP per share	4.87	4.92	5.15	5.60	6.10	Total liabilities and Shareholder equity	523,520	537,664	559,829	591,844	623,223
Reported EPS	3.36	3.56	3.84	4.17	4.54	Interest bearing liabilities	454,120	465,080	484,943	513,814	541,643
Adj. EPS	3.36	3.56	3.84	4.17	4.54	Book Value Per Share	26.00	28.11	29.39	31.21	33.33
DPS	1.70	2.05	2.17	2.20	2.40	Tangible Book Value Per Share	25.85	27.98	29.25	31.07	33.19
Diluted shares outstanding	1,674	1,672	1,651	1,611	1,570						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	82.2%	82.7%	85.6%	86.5%	87.7%	Loan loss reserves/Loans	(1.3%)	(1.2%)	(1.2%)	(1.2%)	(1.2%)
Investment/Assets	15.9%	17.6%	17.8%	17.2%	16.5%	NPLs/Loans	1.5%	1.5%	1.6%	1.6%	1.6%
Loan/Assets	62.3%	62.1%	63.7%	64.9%	65.8%	Loan loss reserves/NPLs	85.1%	80.2%	75.0%	74.4%	74.1%
Customer deposits/Liabilities	80.3%	82.4%	81.5%	81.4%	81.3%	NPL y/y growth	(3.8%)	6.0%	9.8%	9.6%	9.3%
LT debt/Liabilities	14.2%	13.4%	12.9%	13.3%	13.4%	Tier 1 ratio	14.4%	16.6%	15.2%	14.8%	14.7%
						CAR	16.6%	18.2%	16.8%	16.3%	16.1%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	2.0%	2.0%	2.0%	1.9%	Return on equity (ROE)	13.4%	13.1%	13.4%	13.8%	14.1%
Non interest income/Net revenue	30.5%	32.3%	30.7%	31.8%	32.9%	Return on assets (ROA)	1.1%	1.1%	1.2%	1.2%	1.2%
Non interest income/Avg. Assets	0.8%	0.9%	0.8%	0.8%	0.9%	Operating ROA	1.4%	1.4%	1.4%	1.4%	1.4%
Efficiency ratio	41.5%	42.5%	41.4%	40.5%	39.5%	Pre-Tax ROA	1.4%	1.4%	1.4%	1.4%	1.4%
Leverage ratio	7.8%	8.1%	7.5%	7.5%	7.4%	Pre-Provision ROA	1.6%	1.5%	1.5%	1.6%	1.6%
Revenue/Assets	2.7%	2.7%	2.6%	2.6%	2.6%	Tax rate	17.7%	15.8%	16.6%	16.5%	16.5%
RORWA	2.1%	2.2%	2.4%	2.4%	2.4%						
RWA	275,930	259,835	271,517	290,004	305,379	Net loans y/y growth	0.5%	5.3%	6.9%	6.9%	6.7%
Avg. RWA	267,514	267,883	265,676	280,760	297,691	Assets y/y growth	3.8%	2.7%	4.1%	5.7%	5.3%
Avg. IEA	462,994	476,735	495,004	519,806	548,988	RWA y/y growth	6.5%	(5.8%)	4.5%	6.8%	5.3%
Gross Loans	321,150	337,831	361,347	386,454	412,635	Deposits y/y growth	4.6%	4.8%	3.2%	5.8%	5.3%
Avg. IBL	434,135	434,135	448,693	471,710	498,489	Net interest income y/y growth	16.0%	(0.1%)	4.0%	2.8%	2.8%
LLR	(4,145)	(3,901)	(4,226)	(4,613)	(5,025)	Revenues y/y growth	20.4%	2.6%	1.6%	4.4%	4.4%
NPLs	4,870	5,164	5,671	6,213	6,792	Adj. EPS y/y growth	25.2%	6.0%	8.0%	8.7%	8.8%
P/BV (x)	1.47	1.36	1.30	1.22	1.15	BVPS y/y growth	7.3%	8.1%	4.5%	6.2%	6.8%
Adj. P/E (x)	11.4	10.7	9.9	9.2	8.4	IE assets/Assets	90.1%	89.8%	90.2%	90.3%	90.4%
Dividend yield	4.5%	5.4%	5.7%	5.8%	6.3%	Margins (as % of Avg. Assets)	1.8%	1.7%	1.7%	1.7%	1.7%
Dividend payout	50.7%	57.6%	56.5%	52.7%	52.8%	LLP/Loans	(0.2%)	(0.3%)	(0.2%)	(0.3%)	(0.3%)
						Equity/Assets	8.2%	8.5%	8.6%	8.5%	8.3%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.0%
						Assets/Equity	12.2	11.7	11.6	11.8	12.0

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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United Overseas Bank (UOB) (UOBH.SI, UOB SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
31-May-22	OW	29.34	35
02-Aug-22	OW	27.89	34
30-Mar-23	N	29.95	28.5
05-Oct-23	N	28.07	28
09-Dec-23	N	27.58	27
13-Mar-24	N	28.28	30
03-Jul-24	N	31.65	32.5
06-Oct-24	N	31.86	34
10-Nov-24	OW	35.69	41
14-Jan-25	OW	36.80	43

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan’s continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Completed 26 Feb 2025 12:06 AM HKT

Disseminated 26 Feb 2025 12:07 AM HKT